

Import and Export trends Over the past few years, the industry is facing the problem of higher imports. Imports presently address 30% of domestic demand for capital goods with the proportion being significantly higher in the critical components segment for each sub-sector. Capital goods import has increased by an average growth rate of 16% over the past five years under the free trade agreement, under which finished machinery is imported at a lower rate of import duty.

Challenges:

High factor cost: Domestic manufacturers bear higher cost structures compared to global peers. The reasons range from higher factor cost of power, taxation, delay in land acquisition, inefficiencies in manufacturing process, dispersed supply chains, duplication of facilities and lack of standardization. However, labor costs are competitive compared to other developing economies, but the productivity has not grown at a comparable rate since the past four years.

Mounting pressure of cheaper imports: The sub-sectors of CG, which constitute highest share in imports, also represent lowest share in domestic industry production. The increasing dependence on imports for these sub-sectors is the major reason for their lowest share in total output of the industry. The rising trend of capital goods import has become a major concern for the industry. Due to the high cost of manufacturing, the import prices of second hand capital goods are par or below the ones manufactured domestically. At the same time, import duty on finished cost is lower, thereby creating an advantage for import over domestic products. Further, free trade agreement (FTA) has created undue advantages for global players seeking to tap into the Indian demand.